

Natural Gas — Market Factors (June 10, 2026)

Spot: Henry Hub ~\$3.14/MMBtu, off ~2% after pulling back from a 16-week high.

What's pressuring prices

- **Storage overhang.** Inventories remain ~5% above the 5-year seasonal average. Even after recent production trims, the cushion heading into summer is comfortable.
- **LNG export weakness.** Net feedgas to export terminals fell to **16.3 Bcf/d in June from 17.1 Bcf/d in May** — seasonal maintenance at **Golden Pass** and **Freeport LNG** (both Texas) is the proximate cause. That ~0.8 Bcf/d swing is meaningful at the margin.
- **Permian-driven supply growth.** EIA expects 2026 marketed production +3.3% YoY, almost entirely from associated gas in the Permian (driven by oil-directed drilling — gas comes out whether wanted or not).

What's supporting prices

- **Above-normal temperatures through ~June 20–24.** Cooling demand → more gas burn for power generation; this is the primary near-term bull factor.
- **Lower-48 production has eased.** 108.8 Bcf/d MTD in June vs 109.7 Bcf/d in May — small but real.

EIA outlook framing

- Henry Hub spot expected to average **~\$3.34/MMBtu in 2H26** — i.e., the curve sees modest upside from here into late summer / fall.
 - 2026 thesis: relatively flat, **supply growth outpacing demand**. The real ramp is a 2027 story (rising LNG export capacity from new trains coming online).
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Quick reference table

Driver	Direction	Magnitude / detail
Storage vs 5-yr avg	Bearish	~+5% surplus
LNG feedgas (Jun MTD)	Bearish	16.3 Bcf/d (vs 17.1 May) — Golden Pass + Freeport maintenance
Permian associated gas	Bearish (structural)	+3.3% 2026 marketed production growth
Cooling demand outlook	Bullish	Above-normal temps through Jun 20–24
Lower-48 production trend	Mildly bullish	108.8 Bcf/d vs 109.7 in May
EIA 2H26 forecast	Mildly bullish	~\$3.34/MMBtu average
2027 LNG capacity ramp	Bullish (forward)	Multiple new trains online

Portfolio relevance (current holdings)

You hold **AR (Antero Resources)** and **AM (Antero Midstream)** — both Appalachia natural-gas-leveraged.

Read-through:

- **AR (E&P)**: direct beta to Henry Hub. The flat-2026 / ramp-2027 narrative is the bull case; current pullback from the 16-week high is consolidation, not regime change.
- **AM (Midstream)**: less direct price beta — earnings driven by volumes and contracts, more insulated. The Permian associated-gas growth does *not* help AM (different basin); the LNG-export ramp into 2027 *does* (more takeaway demand for Appalachian gas).

Levels to watch

- **Sub-\$3.00/MMBtu sustained close** → invalidates the 2H26 bull thesis; reassess AR sizing.
 - **Above \$3.40 sustained close** → confirms the EIA 2H26 average path; bullish for AR.
 - **LNG feedgas back >17 Bcf/d** (mid-July, post-maintenance) → primary demand-side catalyst to watch.
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Sources

- [EIA Natural Gas Weekly Update](#)
- [EIA Short-Term Energy Outlook — Natural Gas](#)
- [EIA Weekly Natural Gas Storage Report](#)
- [EIA: We expect Henry Hub natural gas spot prices to fall slightly in 2026 before rising in 2027](#)
- [Trading Economics — Natural Gas Price Chart](#)
- [CME — Henry Hub Natural Gas Futures Overview](#)
- [Natural Gas Intelligence — Prices Poised to Ramp as Demand Mounts](#)
- [FRED — Henry Hub Natural Gas Spot Price](#)